

SECTION A – CASE QUESTIONS

Answer 1

To : Mr Jody Wong, Director
From : Philip Chan, Accounting Manager
Date : dd/mm/yyyy
Subject : Goodwill allocation and impairment of goodwill

I refer to your query regarding goodwill allocation and impairment of goodwill of BGM.

Goodwill allocation and impairment

Since goodwill cannot generate cash independently, it must be allocated to the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets, i.e. cash generating units (“CGUs”).

HKAS 36 specifies that

- (a) the goodwill should, from the acquisition date, be allocated to each of the acquirer’s cash-generating units, or groups of cash-generating units, that are expected to benefit from the synergies of the business combination, irrespective of whether other assets or liabilities of the acquiree are assigned to those units or groups of units (HKAS 36.80).
- (b) each unit or group of units to which the goodwill is allocated should:
 - (i) represent the lowest level within the entity at which the goodwill is monitored for internal management purposes; and
 - (ii) not be larger than an operating segment determined in accordance with HKFRS 8 *Operating Segments*.

HKAS 36.BC139 also mentions that because “the board was concerned that in the absence of any guidance on the precise meaning of “allocated on a reasonable and consistent basis”, some might conclude that when a business combination enhances the value of all of the acquirer’s pre-existing cash generating units, any goodwill acquired in that business combination should be tested for impairment only at the level of the entity itself. The board concluded that this should not be the case.”

Thus, all goodwill arising in a business combination must be allocated to CGUs or CGU groups that benefit from synergies; none may be allocated to CGUs or CGU groups that do not benefit, and entities are not permitted to test for impairment at the level of the entity as a whole.

Even though BGM operates an offline business only, since both the KGH's existing online business and the BGM's offline business to be acquired are expected to benefit from the synergies of the business combination, goodwill should be allocated to those CGUs and CGU groups of both online and offline businesses.

As goodwill should be allocated to those CGUs and CGU groups that are expected to benefit from the synergies, impairment test should not be performed for BGM as an entity as a whole, as BGM has CGUs lower than the entity as a whole.

Besides, the synergy of the combination (e.g. improve margin through cost savings and economies of scale and opportunity for future growth through the benefit of combined talent and technology) would mean that the recoverable amount of CGUs may well above the book value of net assets.

An asset is impaired when its carrying amount exceeds its recoverable amount. Since the impairment review is not only performed on BGM at the entity level and because of the synergy effect, the recoverable amount of the CGUs may be higher than the carrying amount of the CGUs to which goodwill has been allocated and therefore there may be no impairment.

I hope the above explanation has answered your question. Please feel free to contact me if you have further queries.

Best Regards,
Philip Chan

Answer 2

Bargain Mart as a trade name

HKFRS 3 requires the acquirer to recognise all identifiable assets and measure them at their fair value.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date (HKFRS 13).

The acquirer would take into account the assumptions that market participants would use when pricing the intangible asset (HKFRS 3.B40).

HKFRS 3.B43 specifies that to protect its competitive position, or for other reasons, the acquirer may intend not to use an acquired non-financial asset actively, or it may not intend to use the asset in a way that is different from the way according to its highest and best use.

Take, for example, an acquired research and development intangible asset that the acquirer plans to use defensively by preventing others from using it.

Nevertheless, the acquirer shall measure the fair value of the non-financial asset assuming its highest and best use by market participants in accordance with the appropriate valuation premise, both initially and when measuring fair value less costs of disposal for subsequent impairment testing.

Since the fair value of the asset has to be determined in accordance with the use by market participants, KGH's future intentions about the asset should only be considered in determining the fair value if that is what other market participants would do.

Considering that other market participants may use Bargain Mart as the trade name if it is not prevented by KGH; and KGH can sell the trade name after acquisition, Bargain Mart, as a trade name, is likely to have some value, and a fair value should be attributed to Bargain Mart as a trade name.

Since KGH is not intending to use Bargain Mart as a trade name to generate cash flows, but to use it defensively by preventing others from using it, the trade name should be amortised over the period it is expected to contribute directly or indirectly to the group's future cash flows.

If it indicates that an impairment loss may have occurred, KGH is required to make an estimate of recoverable amount of the trade name.

Answer 3

Prepare the consolidation and equity accounting entries for 2017 (in HK\$ million)

J1: Elimination of investment in STL

Dr. Share capital	10,000	
Dr. Retained earnings	30,000	
Dr. Other reserves	15,000	
Dr. Intangible assets	2,000	
Dr. Goodwill	10,320	
Cr. Deferred tax liabilities		320
Cr. Investment in STL		55,000
Cr. Non-controlling interests		12,000

J2: Additional amortisation for intangible assets

Dr. Amortisation (cost of revenues)	250	
Dr. Retained earnings ($250 \times 2 \times 80\%$)	400	
Dr. Non-controlling interests	100	
Cr. Accumulated amortisation		750

Dr. Deferred tax liabilities	120	
Cr. Tax expenses		40
Cr. Retained earnings		64
Cr. Non-controlling interests		16

J4: Adjustment for unrealised profit on transfer of property, plant and equipment (STL to KGH)

Dr. Gain on sale (other income)	4,000	
Cr. Property, plant and equipments		4,000

J5: Adjustment for tax on unrealised profit on transfer of property, plant and equipment

Dr. Deferred tax asset	640	
Cr. Tax expense		640

J6: Adjustment of current depreciation on transferred property, plant and equipment

Dr. Accumulated depreciation	1,000	
Cr. Depreciation		1,000

J7: Tax effects on J6

Dr. Tax expense	160	
Cr. Deferred tax asset		160

J8: Allocate post-acq RE to NCI ($40,000 - 30,000$) $\times$ 20%

Dr. Retained earnings	2,000	
Cr. NCI		2,000

J9: Eliminate dividends paid by STL

Dr. Dividend income (revenues)	5,600	
Dr. Non-controlling interests	1,400	
Cr. Dividend paid		7,000

J10: Allocate share of current profit after tax to NCI

Dr. Profit to NCI	6,654	
Cr. NCI		6,654

PAT of STL		36,000
Additional amortisation after tax (J2 \$250 – J3 \$40)		(210)
unrealised Gain on sale of PPE after tax (J4 \$4,000 – J5 \$640)		(3,360)
adjust depreciation on gain on sale of PPE after tax (J6 \$1,000 – J7 \$160) realise		840
Adjusted PAT		33,270
	@20%	6,654

E1: Recognise share of post-acq RE of AST (\$25m – \$20m)

Dr. Investment in AST	1,250	
Cr. Retained earnings		1,250

E2: Recognise additional depreciation of undervalued PPE (after-tax)

(\$500 / 5 x 25% asso x (1 – 16% tax))

Dr. Share of profit of associates	21	
Dr. Retained earnings	21	
Cr. Investment in AST		42

E3: Reclassify dividend income as a reduction of investment

Dr. Dividend income	1,000	
Cr. Investment in AST (\$4,000 x 25%)		1,000

E4: Share current profit after tax of AST (\$30,000 m x 25%)

Dr. Investment in AST	7,500	
Cr. Share of profit of AST		7,500

**Consolidated statement of profit or loss and other comprehensive income for year ended
31 December 2017**

	<i>KGH</i>	<i>STL</i>	<i>Dr</i>	<i>ref</i>	<i>Cr</i>	<i>Consolidated</i>
	HK\$ million	HK\$ million	HK\$ million		HK\$ million	HK\$ million
Revenues	250,000	90,000				340,000
Cost of revenues	(75,000)	(30,000)	250	J2,J6	1,000	(104,250)
Other income	15,000	8,000	4,000	J4		12,400
			5,600	J9		
			1,000	E3		
Other expenses	(65,000)	(23,000)				(88,000)
Share of profit of associates			21	E2,E4	7,500	7,479
Profit before tax	125,000	45,000				167,629
Tax expenses	(25,000)	(9,000)	160	J7,J3	40	(33,480)
				J5	640	
Profit after tax	100,000	36,000				134,149
<u>Profit attributable to:</u>						
Equity holders of KGH						127,495
Non-controlling interests			6,654	J10		6,654
			17,685		9,180	

Consolidated statement of financial position as at 31 December 2017

	<i>KGH</i>	<i>STL</i>	<i>Dr</i>	<i>ref</i>	<i>Cr</i>	<i>Consolidated</i>
	HK\$ million	HK\$ million	HK\$ million		HK\$ million	HK\$ million
PPE	50,000	12,500	1,000	J6,J4	4,000	59,500
Intangible assets	115,000	52,500	2,000	J1, J2	750	168,750
Investment in STL	55,000			J1	55,000	-
Investment in AST	15,000		1,250	E1,E2	42	22,708
			7,500	E4,E3	1,000	
Goodwill			10,320	J1		10,320
Deferred tax assets	2,500	250	640	J5, J7	160	3,230
Other non-current assets	1,000	300				1,300
Current assets	62,500	39,500				102,000
	301,000	105,050				367,808
Share capital	50,000	10,000	10,000	J1		50,000
Retained earnings	130,000	69,000	30,000	J1		166,388
			400	J2, J3	64	
			2,000	J8, E1	1,250	
			21	E2		
			17,685	P/L	9,180	
				J9	7,000	
Other reserves	35,000	15,000	15,000	J1		35,000
non-controlling interest				J1	12,000	19,170
			100	J2,J3	16	
			1,400	J9,J8	2,000	
				J10	6,654	
Deferred tax liabilities	750	700	120	J3,J1	320	1,650
Non-current liabilities	47,750	5,350				53,100
Current liabilities	37,500	5,000				42,500
	301,000	105,050				367,808

Reconciliation of NCI

		HK\$ million
Book value of net assets as at 31 Dec 2017	HK\$10k + HK\$69k + HK\$15k	94,000
Adjustment for unrealised gain on PPE (after-tax)	HK\$4k x 3/4, after tax	(2,520)
Adjusted net assets as at 31 Dec 2017		91,480
NCI's share	20% NCI	18,296
FV adjustment	HK\$2,000 x 5/8 x (1 - 16%) = HK\$1,050 x 20% NCI	210
NCI's goodwill	HK\$12,000 - 20% x (HK\$10,000 + HK\$30,000 + HK\$15,000 + HK\$2,000 - 320)	664
		19,170

Answer 4

Reconciliation of Investment in AST as an associate

		HK\$ million
Book value of shareholders' equity of AST	HK\$5k + HK\$51k + HK\$10k	66,000 x 25%
P's share of AST's identifiable net assets	25% Asso	<u>16,500</u>
FV adjustment	HK\$500 x 3/5 x (1 - 16%) HK\$252 x 25%	63

Implicit goodwill in investment in AST:

Investment in AST	HK\$15,000	
BV of net assets of AST at acq	HK\$35,000	
Fair value adjustment on PPE, after-tax	<u>HK\$420</u>	
FV of net assets of AST at acq	<u>HK\$35,420 x 25%</u>	
Less: Share of FV of net assets of AST at acq	<u>HK\$8,855</u>	
Goodwill in AST implicit in the investment in AST		<u>6,145</u> <u>22,708</u>

* * * END OF SECTION A * * *

SECTION B – ESSAY / SHORT QUESTIONS

Answer 5(a)

Basic EPS

Profit attributable to ordinary shareholders

		HK\$ million
Profit for the year		22,000
Less: Preference share dividend	(500 million shares x HK\$2)	(1,000)
		21,000

Weighted average number of shares

2017		No. of shares (million)	Cumulative no. of shares (million)	Time weighting (months)	Weighted average (million)
1 Jan	Bal. b/f	4,000	4,000	3	1,000
31 Mar	Issuance of shares for cash	300	4,300	7	2,508
31 Oct	Exercise of share options	200	4,500	2	750
Total					4,258

Basic earnings per share

Earnings (HK\$ million)	21,000
Weighted average number of shares (million)	4,258
Basic EPS (HK\$)	4.93

Bonus issue is not taken into consideration because it occurred after the financial statements were authorised for issue.

Diluted earnings per share

Under HKAS 33 *Earnings per share* para. 38, earnings per share, potential ordinary shares are weighted for the period they are outstanding. Potential ordinary shares that are cancelled or allowed to lapse during the period are included in the calculation of diluted earnings per share only for the portion of the period during which they are outstanding. Potential ordinary shares that are converted into ordinary shares during the period are included in the calculation of diluted earnings per share from the beginning of the period to the date of conversion; from the date of conversion, the resulting ordinary shares are included in both basic and diluted earnings per share.

Earnings

For the purposes of calculating diluted EPS in the case of EL, there is no adjustment required to be applied to the earnings used in the calculation of basic EPS.

Weighted average number of shares

No. of options (million shares issuable)	A	200
Exercise price (HK\$)	B	10
Assumed proceeds (HK\$ million)	$A \times B = C$	2,000
Average market price (HK\$)	D	25
No. of ordinary shares deemed to have been issued (million)	$C / D = E$	80
Bonus element (million)	$A - E = F$	120
Time factor	G	$\frac{5}{12}$
Weighted average bonus shares for calculation of diluted EPS (million)	$F \times G$	50

Calculation of diluted EPS

	Earnings (HK\$ million)	Shares (million)	Earnings per incremental share (HK\$)
Basic EPS	21,000	4,258	4.93
Options	0	50	-
Total	21,000	4,308	4.87

The conversion of share options decrease EPS and hence dilutive. Therefore, diluted EPS for the year was HK\$4.87.

Answer 5(b)

According to HKAS 33 *Earnings per share* para. 64, if the number of ordinary shares outstanding increases as a result of a bonus issue, the calculation of basic and diluted earnings per share for all period presented shall be adjusted retrospectively. If these changes occur after the reporting period but before the financial statements are authorised for issue, the per share calculations for those and any prior period financial statements presented shall be based on the new number of shares. The fact that per share calculations reflect such changes in the number of shares shall be disclosed.

Therefore, if EL's financial statements were authorised for issue on 20 March 2018, (i.e. after the one-for-one bonus issue on 19 March 2018, even though the bonus issue took place after 31 December 2017 (the end of the financial period), the basic and diluted earnings per share for all periods presented (i.e. current and all prior periods presented) need to be adjusted retrospectively. In addition, the fact that per share calculations reflect such changes in the number of shares shall be disclosed.

Answer 6(a)

(i) Wealth management products issued by Bank Q

The entity's business model does not depend on management's intentions for an individual instrument. [HKFRS 9 para. B4.1.2]

Even if the entity has a business model of collecting contractual cash flows, the point is not relevant because the instruments fail the solely payments of principal and interest ("SPPI") test. The SPPI criterion is not met because the contractual cashflows are not solely payment of principal and compensation for time value of money and credit risk. They are also subject to equity price risks present in the equity-linked notes and the Hang Seng index constituent stocks.

Therefore, under HKFRS 9 it will be required to be classified as fair value through profit or loss and impairment requirements under HKFRS 9 do not apply to this investment – all fair value gains and losses are recognised in profit or loss.

(ii) Investment in Happy Day

This is an equity investment.

There is no provision under HKFRS 9 to measure the investment at cost, although on initial recognition AlwaysRight might be able to use the transaction cost as an estimate of fair value.

Under HKFRS 9, generally investment in equity investment would have been measured at fair value through profit or loss unless it makes an irrevocable election at initial recognition to present subsequent changes in fair value in other comprehensive income. [HKFRS 9 para. 4.1.4]. In any case, the impairment requirements under HKFRS 9 do not apply to this investment – all fair value gains and losses are recognised in profit or loss (if it is classified as fair value through profit or loss) or other comprehensive income (if it is classified as fair value through other comprehensive income).

Answer 6(b)

HKFRS 9 applies an “expected loss” model to impairment. In other words, credit losses are recognised when expected rather than when incurred. It is not necessary for a loss event to occur before an impairment loss is recognised.

It is calculated as a difference between:

- present value of principal and interest cash flows that are contractually due to the company; and
- present value of cash flows the company expects to receive.

HKFRS 9 requires consideration of expected credit losses from all possible default events, for example, if there is an expectation that the company is not going to receive all the cash flows under the contract, or that the payment is going to be received at a later date than the contract provides for, then a credit loss would be recognised. This is the case even when there is no significant increase in credit risk of the debtor.

Answer 6(c)

The following sets out the discussion on accounting treatment of the costs directly related to the issuance of new convertible bonds and the issuance of new shares, that are incremental costs directly attributable to each of the transactions. If the related expenses are not “incremental costs directly attributable to each of the transactions”, then an entity shall recognise all items of income and expense in a period in profit or loss unless a HKFRS requires or permits otherwise. [HKAS1.88]

(i) Issuance of convertible bonds

Incremental costs directly attributable to the issuance of convertible bonds, which in this case would have been a compound financial instrument, should be allocated to and debited against the liability and equity components of the instrument in proportion to the allocation of proceeds.

(ii) IPO (new shares)

Expenses that are directly attributable to the issue of new shares are accounted for as a deduction from equity.

Answer 7(a)

As a professional accountant, both Mr Wong and Mr Chan have to comply with the fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour as set out in s.100.5 of the *Code of Ethics for Professional Accountants*.

Integrity

In GF's situation, although Mr Wong instructed Mr Chan to draft the disclosure notes in such a way that it will not be confusing, it appears the implicit order was to hide the details of the material misstatement, let alone the underlying cause of such an error. This calls into question Mr Wong's integrity in giving such order.

It cannot be seen from the situation whether the omission of information in the draft disclosure notes as prepared by Mr Chan was as a result of him being incompetent, or whether he simply followed Mr Wong's instructions. In any case, the output was misleading due to the omission of various information as required under HKAS 8.

In addition, depending on the underlying cause(s) of the prior year misstatement, integrity of those who prepare the financial information could be called into question.

Objectivity

In GF's situation, Mr Chan's objectivity in furnishing the financial information could be impaired due to Mr Wong's instructions of "simplifying the disclosure", and also by the threat that he would need to look for other opportunities outside if he reported the misstatement regarding the long term loan which should have been classified as current as of 31 December 2017.

Professional Competence and Due Care

In GF's case, if Mr Wong and Mr Chan genuinely believed that the draft disclosures regarding the prior period error satisfied the requirements under HKFRS and that it would provide better information to the users to the financial statements, then their professional competence is questionable.

In addition, depending on the underlying cause(s) of the prior year misstatement, their competence and exercise of due care could be challenged.

Professional Behaviour

While it is commendable for Mr Chan to escalate the misstatement regarding the long term loan to his superior, the intention of Mr Wong is not ethical.

Mr Chan may consider escalating to a higher level of management or obtaining legal advice on Mr Wong's requests. In those extreme situations where all available safeguards have been exhausted and it is not possible to reduce the threat to an acceptable level, Mr Chan should refuse to be or remain associated with information he determines is misleading and may conclude that it is appropriate to resign from the company (S.300.15 of the Code).

Answer 7(b)

The draft disclosures managed to mention the fact that there are prior period errors and that the comparatives amounts have been restated. However, it lacks the details as required under HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* para. 49 (a) – (d). More specifically, the disclosures should have mentioned the nature of the prior period error, the amount of correction to each of the financial statement line items affected, including basic and diluted earnings per share and the amount of the correction at the beginning of the earliest prior period presented.

In addition, the entity shall present a third statement of financial position as at the beginning of the preceding period (i.e. as of 1 January 2016) in accordance with the requirements under HKAS 1 *Presentation of Financial Statements* para. 40A.

Answer 7(c)

Under HKAS 1 *Presentation of Financial Statements* para. 69, an entity shall classify a liability as current when:

- it expects to settle the liability in its normal operating cycle;
- it holds the liability primarily for the purpose of trading;
- the liability is due to be settled within twelve months after the reporting period; or
- it does not have an unconditional right to defer settlement of the liability for at least twelve months after the reporting period.

An entity shall classify all other liabilities as non-current.

In GF's case, even though the breach of the loan covenant did not come to management's attention on 31 December 2017, it is a condition that existed at the end of the reporting period.

When an entity breaches a provision of a long-term loan arrangement on or before the end of the reporting period with the effect that the liability becomes payable on demand, it classifies the liability as current, even if the lender agreed, after the reporting period but before the authorisation of the financial statements for issue not to demand payment as a consequence of the breach.

GF has to classify the liability as current because, at the end of the reporting period, it does not have the unconditional right to defer its settlement for at least twelve months after that date.

Answer 7(d)

Based on the requirements under HKAS 10 para. 14, GF shall not prepare its 2017 financial statements on a going concern basis given management determines, after the reporting period but before the financial statements are authorised for issue, that it has no realistic alternative but to liquidate the entity.

This is regardless of the fact that the determination was not made until after the year end.

* * * END OF EXAMINATION PAPER * * *